Scenario C1:

A payment each week instead of making one monthly payment – $975.36 in principal, and interest of $894.53 and PMI of $80.83. PMI would not be removed until 36 months of payments have been made.

Once the PMI is removed, principal payment can go down to $873.70 weekly; the loan would then be entirely paid off in 11 years and 7 months, saving approximately $506,350 in interest.

If Buddy chooses to continue paying $975.36 weekly, the loan would be entirely paid off in 10 years and 9 months – about $515,530 in interest saved.

Some of you numbers people eat that stuff up. Others like a condensed version: You can see the progression. Paying every two weeks saves interest over paying once a month, and paying weekly reduces the interest paid versus paying every two weeks. Reducing the principal balance directly affects the interest paid out.

In fact, Buddy could pay off that mortgage even quicker if he wanted to! He could pay earlier in the month, as opposed to weekly. In addition, with great credit, Buddy could find a mortgage with a lower interest rate (depending on what's available at the time). There are tons of people out there with rates even above 9.5%, and that should not be the case. Don't allow yourself to settle. Use the *Debt Cures* methods and refinance and pay off your mortgage in even less than ten years!

By doing what Buddy did, you could get a better FICO score (which leads to a better rate). That means less money to the bank and *more money* to you. Looking at C and C1, Buddy's interest savings at best, with the 9.5% rate, is $222,600; with the 5.5% rate, he saves $515,500. Both are great, but that better interest rate nets Buddy an extra $292,900.

Buddy loves *Debt Cures*. The banks don't.

More on the Story

Besides refinancing, and all the prepay options discussed earlier in the chapter, there are more techniques. In this era of subprime mortgages, I know that some of you want a solution that can work for you.